MASENO UNIVERSITY
UNIVERSITY EXAMINATIONS 2024/2025

THIRD YEAR FIRST SEMESTER EXAMINATION FOR THE DEGREE OF BACHELOR OF BACHELOR OF SCIENCE, MATHEMATICS & BUSINESS; BACHELOR OF BUSINESS ADMINISTRATION; BACHELOR OF EDUCATION ARTS; SPECIAL NEEDS; EARLY CHILDHOOD MANAGEMENT WITH INFORMATION TECHNOLOGY AND BACHELOR OF PROCUREMENT AND SUPPLY CHAIN

MAIN CAMPUS

BAF 305: FINANCIAL MANAGEMENT

Date: 14th January, 2025 Time: 3.30 - 6.30pm

INSTRUCTIONS:

- Do not write anywhere on this Question paper
- Answer Question ONE and any other THREE
- Show all your workings and be neat.

Question One

a) Misheveve Ltd. is evaluating a project with an expected useful life of 6 years and the following characteristics:

- Fixed capital investment of Sh.4, 000,000.
- The initial investment in net worth working capital is Sh.400, 000. At the end of each year, net working capital must be increased so that the cumulative investment in net working capital is one-sixth of the next year projected sales.
- The fixed capital is depreciated on cost at the following rates: 30% in year 1, 35% in year 2, 20% in year 3, 10% in year 4, 5% in year 5 and 0% in year 6.
- Sales are Sh.2, 400,000 in year 1, they grow at 25% annual rate for the next two years and then grow at 10% annual rate for the last three years.
- Fixed cash operating expenses are Sh.300, 000 for year 1-3 and Sh.260, 000 for year 4-6.
- Variable cash operating expenses are 40% of sales in year 1, 39% of sales in year 2 and 38% of sales in year 3 - 6.
- The corporate tax rate is 30%. If taxable income on the project is negative in any year, the loss will offset gains elsewhere in the corporation, resulting in a tax savings.
- Fixed capital investment will be sold for Sh.300, 000 when the project is complete and recapture its cumulative investment in networking capital. Income taxes will be paid on any gains on disposal.
- The project required rate of return is 12%.

Required:

Determine the suitability of the project using the Net Present Value (NPV) method.

(10 Marks)

b) A firm's investment decisions would generally include expansion, acquisition, modernization and replacement of longterm assets. Explain three reasons why capital budgeting is important to an organization. **(6 Marks)**

c) James Mutuse intends to accumulate KShs. 10,000,000 in his bank 15 Years from now. Required: The amount he should deposit now assuming that the bank is offering a 5% interest rate per annum semi-annually. **(5 Marks)**

d) Distinguish between managerial functions and routine functions of a finance manager. **(4 Marks)**

Question Two

a) Baraka Traders Ltd. has a minimum cash balance limit of Sh.100, 000. The standard deviation of the daily cash flows is Sh.25, 000. The interest rate of the marketable securities is 9.2% per annum. The transactional cost for each sale or purchase of security is Sh.200.

Assume a 365-day year.

Required:

Using Miller-Orr cash management model, determine:

i. Target cash level. **(2 Marks)**
ii. Upper cash limit. **(2 Marks)**
iii. Average cash balance. **(2 Marks)**
iv. The spread. **(1 Mark)**

b) The following information relates to inventory relationship of Gachagua Ltd.:

- Annual purchases of Sh.2, 160,000.
- Purchase price per unit is Sh.60.
- Carrying cost is 15% of the purchase price per unit.

- Cost per order placed is Sh.240.
- Desired stock levels is 300 units. This stock level was in hand initially.
- Lead time is 7 days.

Assume a 365-day year.

Required:

i. The economic order quantity (EOQ) for the company. **(3 marks)**

ii. The optimal number of orders to be placed in a year. **(1 mark)**

iii. Assuming that for any orders of at least 2,000 units, the firm will get 5% discount on the purchase price. Analyze whether the company should take advantage of the discount or not. **(4 marks)**

Question Three

a) Management of a limited liability company is appointed to promote and protect shareholders' interest in the performance of their functions. The aim is to maximize shareholders' value. The management, however, could have interest that might be in conflict with shareholders' interest.

Required: In reference to the above statement:

i. Identify this type of conflict in modern day financial management of a firm. **(1 Mark)**

ii. Explain THREE factors that could contribute to the conflict identified in (a) (i) above. **(3 Marks)**

iii. As a financial management professional, explain FOUR strategies that could be used to manage or mitigate this conflict to protect shareholders. **(4 Marks)**

b) Discuss the Objectives of a firm using a hypermarket as an example. **(7 Marks)**

Question Four

The following information relates to the capital structure of Tamu Caterers Limited for the year ended 31 December 2021.

Capital Source	Current market value Sh. "000"
Corporate bond	11,927
Ordinary shares	26,170
Preference shares	7,203

Additional information:

1. The corporate bond has a Sh.1, 000 face value, pays interest at a rate of 11% annually and will mature in 10 years' time. The bond is currently trading at Sh.1, 125 at the securities market and its yield-to-maturity is 9.05%.
2. The ordinary shares paid a dividend of Sh.1.80 last year and each share is selling at Sh.27.50 at the securities market. The firm's dividend on ordinary shares is expected to grow at a rate of 7% per annum to perpetuity.
3. The firm's preference shares pays a 9% dividend on a Sh.100 par value.
4. The corporation tax rate is 30%.

Required:

(i) The weighted average cost of capital (WACC) for the firm. **(6 marks)**

(ii) Explain the factors that will determine the cost of capital for Tamu Caterers Limited **(5 marks)**

(iii) Distinguish between Marginal cost of Capital and Weighted Average Cost of Capital. **(4 Marks)**

Question Five

a) Distinguish using examples between Operating Leverage and Financial Leverage. **(6 Marks)**

b) An Analyst has gathered the following using the latest financial year's statements and interviews with managers of Doshi Limited:

Number of units production and Sold	1,000,000 units
Sales price per unit	KShs. 108
Variable cost per unit	Sh. 72
Fixed Operating costs	KShs. 22.5 Million
Fixed Financing Expenses	KShs. 9 Million

Required:

Calculate the following for Doshi Limited at sales volume 1,000,000 units (ignore taxation):

(i) Degree of Operating Leverage(DOL) **(3 Marks)**
(ii) Degree of Financial Leverage(DFL) **(3 Marks)**
(iii) Degree of total Leverage(DTL) **(3 Marks)**